



THE FIRSTS FUND

THE FIRSTS GROWTH FUND · FUND FACT SHEET · PESO-DENOMINATED GLOBAL CAPACITY FUND
Hypothetical fund proposal · FinQuest 2026 · Data as of 10 August 2026

*"There will always be
a new first."*

INVESTMENT OBJECTIVE AND THE NEED IT ADDRESSES

Theme — global real capacity. The physical and network infrastructure growth has to run on: power, hospital beds, ports, towers, fibre, and the equipment and platforms that build and monetise them. Not a country theme, not a style theme, and deliberately not a technology theme.

Objective. The Fund seeks **long-term capital growth** by investing in a globally diversified portfolio of companies that own, build or supply long-lived physical and network capacity, with a structural 30% allocation to Philippine issuers. It is a single pooled fund with one NAV, and it makes no promise about any individual investor's date.

The need. A Filipino aged 18–25 has two assets: a peso salary and peso goals. They are the same bet, and every product they can currently reach makes that bet larger. BPI's own Philippine Equity Index Fund returned **0.52% a year** over five years, net; the PSEi returned **−0.70% a year** on price; a money-market fund at ~4.5% loses to **6.2% inflation**. And the closest thing to a global answer on the shelf — a fund-of-funds — charges a second layer of fees and **trailed its own MSCI ACWI benchmark by 4.19 points a year**. What is missing is not another savings product. It is a **peso-denominated, globally diversified growth fund, held directly, that someone with ₱100 can actually buy**.

Why the risk level is what it is. A young investor *pays in* monthly; they do not draw down. Reordering the Fund's own 60 monthly returns 20,000 times — which holds the compound return exactly fixed — the correlation between first-half return and final wealth is **−0.85 for a contributor** and **+0.85 for a withdrawer**. For someone paying in, an early fall is a discount, not damage. The Philippine retail risk framework is built to protect a balance: the right question for a retiree, the wrong one here.

How a dated milestone is funded. The Fund is one half of the journey; the other is an **account-level glidepath** from 24 months out into a money market fund, reaching 15% here at the date. A pooled fund cannot glide to dates its investors do not share. Firsts under five years are declined at goal-setting, with a reason.

KEY FACTS

Theme	Global real capacity
Fund structure	Single pooled fund, unitized
Classification	Aggressive
Minimum initial	₱100
Contribution rails	Payday schedule · Sukli · top-up
Minimum recurring	₱100 / month
Recommended horizon	5 years and above
Currency	Philippine peso
Holdings	16 direct securities
Management fee	1.50% p.a.
Liquid reserve	9.98% (Rule 6.10)
Single-issuer cap	10.0% (Rule 6)
Weighting method	Equal risk contribution
Benchmark	MSCI ACWI, in PHP
Valuation	Daily, NAVPS

Equal risk contribution. Holdings are sized so each contributes the same share of portfolio risk, solved on the full covariance matrix rather than on standalone volatility. No conviction score enters the weighting. Realised contributions run 5.95% to 6.62% against a 6.25% target.

PERFORMANCE — SIMULATED, NET OF THE 1.50% FEE · 9 AUG 2021 – 10 AUG 2026

11.77% Volatility p.a. vs 18.19% index	0.37 Beta to MSCI ACWI	−17.23% Maximum drawdown ₱862 on ₱5,000	1.01 Sharpe ratio vs 0.56 index	17.14% Return p.a., net vs 15.41% index
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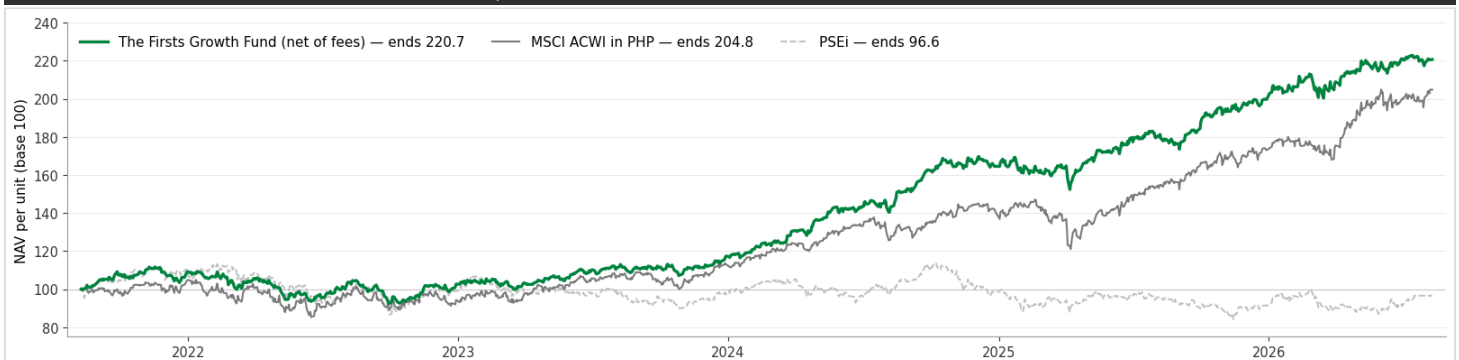
We lead with risk, not return. The return figure is the least reliable number on this page — see How to read the back-test, page 2.

Calendar year	Fund	MSCI ACWI (PHP)	Risk statistic	Fund	Index
2021 (from 9 Aug)	+9.22%	+4.77%	Volatility p.a.	11.77%	18.19%
2022	−5.53%	−9.86%	Downside deviation	7.97%	—
2023	+14.47%	+21.29%	Sharpe ratio	1.01	0.56
2024	+40.46%	+25.60%	Sortino ratio	1.49	—
2025	+21.39%	+26.40%	Maximum drawdown	−17.23%	−18.71%
2026 (to 10 Aug)	+8.77%	+17.67%	Worst rolling 12 months	−15.35%	—
1 year	+20.46%	+32.21%	Best rolling 12 months	+54.71%	—
3 years p.a.	+25.25%	+23.82%	12-month periods positive	84%	—
5 years p.a.	+17.14%	+15.41%	Beta / correlation	0.37 / 0.58	—
			Excess return, geometric	+1.73%	—

The Fund lost to the index over the last twelve months by 11.74 points, and in three of the five calendar years shown. A low-beta portfolio underperforms a rising index — the same property that produced the shallower drawdown. Both are one decision.

In pesos, for a ₱1,000-a-month contributor. The −17.23% maximum drawdown on a ₱5,000 balance is **₱862** — about four weeks of contributions. The worst twelve months, −15.35%, is **₱767**. Percentages are not how a 22-year-old experiences risk, so both are published.

GROWTH OF NAV PER UNIT — SIMULATED, BASE 100 AT 9 AUGUST 2021



Hypothetical. Constructed by applying the Fund's published selection rules and constraint stack to historical prices; the Fund does not exist and has no live track record.

IMPORTANT. This is a student proposal prepared for FinQuest 2026 and is **not** an offer, solicitation, or recommendation to buy any security or fund, and not an actual BPI Wealth product. All performance shown is **simulated and hypothetical**. Simulated performance carries inherent limitations — it is prepared with the benefit of hindsight, does not represent actual trading, and cannot account for the effect of real dealing costs, taxes, liquidity, or the manager's decisions under live conditions. **Past simulated performance is not a guarantee of future results.** The value of an investment and the income from it can fall as well as rise, and an investor may get back less than the amount invested.



THE FIRSTS FUND

PORTFOLIO, PROCESS AND DISCLOSURES

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Map the milestone · Verify the investment · Position the risk

TOP TEN HOLDINGS — WEIGHT AND CONTRIBUTION TO RISK				
Holding	Role	Mkt	Weight	% of risk
IHH Healthcare	Owner	SG	9.39%	5.96%
DBS Group	Platform	SG	8.15%	6.19%
Iberdrola	Owner	ES	8.01%	5.95%
Meralco	Owner	PH	7.58%	6.61%
Sembcorp Industries	Owner	SG	6.70%	5.96%
Apollo Hospitals	Owner	IN	6.41%	5.95%
Century Pacific Food	Owner	PH	6.27%	6.61%
ICTSI	Owner	PH	5.97%	6.61%
ACEN	Owner	PH	5.36%	6.60%
Indus Towers	Owner	IN	4.95%	5.95%
Top ten			68.79%	62.41%

The remaining six. Converge ICT Owner, PH 4.83% · Schneider Electric Supplier, FR 4.36% · TSMC Supplier, TW 4.04% · Grab Holdings Platform, SG 3.03% · Vertiv Supplier, US 2.50% · Sea Limited Platform, SG 2.47%. Sub-total 21.23%. **Asset allocation: equities 90.02%, liquid reserve 9.98%. The risk column is the flat one — that is the design:** weights range 2.47% to 9.39% while risk contributions sit between 5.95% and 6.62%. Vertiv earns 2.50% of capital because it is a 66%-volatility name; IHH earns 9.39% because it is a 22% one.

CONSTRAINT STACK — ALL SATISFIED SIMULTANEOUSLY		
Limit	Rule	Actual
Owners	≥ 45%	65.47%
Suppliers	≤ 25%	10.90%
Platforms	≤ 20%	13.65%
Liquid reserve	10%	9.98%
Single issuer	≤ 10%	9.39%
Single group	≤ 15%	5.36%
Philippines	30% ±3	30.01%

No position is pinned at the cap — every weight is set by the risk model rather than truncated by a limit, including the Philippine sleeve across five names.

Concentration — disclosed, not solved. Diversification ratio 2.51; effective bets 4.78 of 16; largest risk factor 42.7%; top two 71.3%. Two factors — a global growth and AI-capex cluster, and a Philippine and Asian capacity cluster — carry most of the risk. Improved from 94.1% under the previous method, and still the Fund's largest residual risk. Stated on the face of the sheet, not in an annex.

SELECTION PROCESS — THREE GATES, IN ORDER

M Map the milestone. Identify what drives the cost of the first being funded — housing, mobility, education, travel and currency, enterprise — and therefore what the portfolio must hold.

V Verify the investment. Pass/fail on current disclosures. Each holding is classified by *what pays it*: an **Owner** is paid for the use of capacity for decades after the build, a **Supplier** during the build, a **Platform** on end demand. Capacity must be disclosed as a quantified target with a date. Solvency: net debt/EBITDA ≤ 4.0×, EBIT cover ≥ 2.5×; rate-regulated Owners may run to 6.0× under four published conditions. Valuation is a gate, not a score.

Status: the V gate has not yet been run on evidence. The thresholds are the published rule; issuer-by-issuer verification is in progress. No holding should be read as having passed it.

P Position the risk. Only after V. Each holding is sized to contribute an **equal share of portfolio risk**, solved on the full covariance matrix, then passed through the constraint stack. No conviction score enters the weighting — moving every score by ±10 points changed annual return by under a point.

How to read the back-test. A backcast, not a track record — it tests the construction method, not the security selection. Returns are not evenly distributed (7.96% p.a. in the first half against 27.02% in the second), volatility is measured with hindsight, and Philippine holdings carry price only. The first three flatter the figures, the fourth works against them, and **none is corrected**. Annex A4.

GEOGRAPHIC	
Philippines	30.01%
Singapore	29.74%
India	11.36%
Spain	8.01%
France	4.36%
Taiwan	4.04%
United States	2.50%
Reserve	9.98%

By listing, not revenue. The Singapore names run pan-Asian businesses — IHH across Malaysia, Türkiye and India; Grab and Sea across ASEAN. 30.01% Philippines is a binding constraint; the rest is diversification of listing, currency and regulator.

SECTOR — GICS	
Utilities	27.65%
Industrials	15.86%
Health Care	15.80%
Comm. Services	9.78%
Financials	8.15%
Cons. Staples	6.27%
Info. Technology	4.04%
Cons. Discretionary	2.47%
Reserve	9.98%

Note what is small. Info. Technology is 4.04%; the largest sectors are Utilities and Industrials. A capacity fund, not an AI fund — capex exposure taken through the *owners* of infrastructure, which is why beta is 0.37.

HOW THIS FUND COMPARES

Fund	Min.	5-yr p.a.
BPI Global Equity Fund-of-Funds Fund-of-funds, 11 target funds, MSCI ACWI benchmark, 1.50% plus target fund fees	₱1,000	7.15%
BPI Philippine Equity Index Fund Passive, 32 PSEi names, 1.50%	₱1,000	0.52%
Pag-IBIG MP2 Government savings, tax-free, no negative year	₱500	~7.1%
The Firsts Fund 16 direct securities, 1.50% single layer, 30% PH	₱100	17.14% simulated

The comparison that does not depend on our return. The closest existing product shares our benchmark and **trailed it by 4.19 points a year** over five years — information ratio **-1.05** — while charging a second fee layer at target-fund level. That is the structural case for direct holdings, and where the primer's ban on feeder funds points too. The local index fund returned **0.52%**: more of the bet the investor cannot hedge. **Where MP2 wins we say so** — for a goal three to five years out it is the better product, and our screen routes there. Ours is simulated and theirs are live: read the table on minimum, fee layering, structure and Philippine weight, not on return.

PRINCIPAL RISKS — AND HOW EACH IS MANAGED

Risk	How it is managed, and what remains
Market and equity 90% equities, Aggressive.	9.98% liquid reserve; equal-risk sizing caps any name's risk share at 6.62%; realised beta 0.37. Not eliminated — losses near 17% occur in the simulated history and larger are possible.
Concentration and factor	Single-issuer cap 10%, single-group 15%, role caps; diversification ratio 2.51. The largest residual risk, disclosed rather than solved away — two factors carry 71.3%, so a reversal in global capex would hit several holdings at once.
Currency ~70% non-peso.	Unhedged by deliberate choice. The investor's salary, goals and human capital are already 100% peso; hedging back would re-create the concentration the Fund exists to offset.
Country, regulatory, liquidity	Seven listing venues, no non-Philippine country above 30%. Rate-regulated Owners face tariff resets, so the solvency gate tightens for them. All sixteen are large-cap and daily-traded; the reserve meets redemptions without forced sales.
Sequence risk near the milestone	Account-level glidepath from 24 months out into a money market fund: stressed worst case ₱68,855 → ₱77,736 , dispersion halved, median cost ₱7,419. One NAV cannot glide to dates investors do not share, so it sits outside the Fund. Exec summary, p3.

CLIENT SUITABILITY

For an investor with a milestone **five or more years away** who can contribute regularly and tolerate a fall of a sixth without stopping. **Not** for money needed within five years, an emergency fund, or an investor who would stop contributing after a bad year — for whom a money market fund is right, and to whom the goal-setting screen routes.

THE TEAM

Prince Angelo C. Rivera	BS Applied Mathematics – Master in Data Science. [credentials to follow]
Luis Tengonciang	[programme, year, credentials to follow]
Karol Josef Fuñe	[programme, year, credentials to follow]
Eric Fabian Thirty Mendez	[programme, year, credentials to follow]

Team Los Angeles 76ers, Ateneo de Manila University.

IMPORTANT INFORMATION. A hypothetical fund proposal prepared by students for the FinQuest 2026 case competition. **Not** an offer, solicitation, recommendation or investment advice, **not** an actual BPI Wealth product; no fund described here exists. All figures are **simulated** and prepared with hindsight; they do not represent actual trading and exclude real dealing costs, taxes, market impact and live redemptions. **Past simulated performance is not a guarantee of future results;** investments can fall as well as rise. References to ICA-IRR Rule 6 and 6.10 are the authors' interpretation, unreviewed by counsel or any regulator, and the issuer-level verification described above has not been completed. **Sources.** Prices via Yahoo Finance and PSE exports converted to PHP daily; MSCI ACWI total return via iShares ACWI NAV and distributions; PSEi; BSP and PSA. Comparators from the BPI Global Equity Fund-of-Funds KIIDS (29 May 2026), BPI Philippine Equity Index Fund KIIDS (30 Jan 2026) and the Pag-IBIG 2025 dividend declaration. GICS sectors assigned by the team.



THE FIRSTS FUND

EXECUTIVE SUMMARY · THE PROBLEM, AND THE FUND THAT ANSWERS IT
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*"There will always be
a new first."*

THE PROBLEM EVERYONE IS SOLVING — AND THE ONE THAT ACTUALLY BINDS

At 22, your biggest asset is not money. It is forty years of future earnings — peso, domestic, impossible to sell or hedge. You are already all-in on one economy. You never chose it.

Then look at what the shelf offers. Pag-IBIG MP2 lends those savings to the Philippine government. GFunds buys the local index. BPI's own Philippine Equity Index Fund returned **0.52% a year** over five years, net. **Every product a young Filipino can reach gives them more of the bet they cannot get out of.**

Access is no longer the binding constraint, and we will not pretend it is. BPI cut its UITF minimum from ₱10,000 to ₱1,000 in 2023. Some platforms reach ₱50. PSE accounts rose **50.1%** in a year, **26.5%** of them now held by 18-to-29-year-olds, and the BSP measures financial literacy *rising*. Young Filipinos are already here. What has not changed is the *shape* of the shelf they arrive at: two doors, *park* or *gamble*, and the middle — where a forty-year horizon belongs — is empty.

"Number one: you have to get global exposure... the S&P 500 companies are actually higher quality than local PSEi names. So by diversifying some of that local exposure, you're actually lowering your volatility."

— Joaquin Rossano U. Veluz, Sun Life Investment Management and Trust Co.

THE SECOND ERROR — THE RISK MODEL IS POINTED THE WRONG WAY

The Philippine retail risk framework is built to **protect a balance**. Correct for someone drawing money out. Every 18-to-25-year-old is doing the opposite — paying money in — and for a payer-in the model is not merely unhelpful. It is backwards.

The proof is arithmetic, not opinion. Reorder the Fund's 60 monthly returns 20,000 times. Permutation holds the compound return exactly fixed; only the sequence changes.

Correlation, first-half return to final wealth

Investor paying in ₱1,000/month	-0.85
Investor drawing down ₱900/month	+0.85

Identical returns, mirror-image outcomes. Confirmed independently on 220 months of MSCI ACWI including the global financial crisis: **-0.77** and **+0.77**. Stated precisely, because it will be tested: *given you arrive at the same place*, you would rather have gone down first. Not the claim that drawdowns are good — a path that falls and stays down is bad for everyone.

The consequence, in pesos. ₱1,000 a month into a money market fund at 4.5% returns **₱67,238** over five years. The Fund's *worst possible ordering of its own returns* returns more. **For a monthly contributor the safe product lost to the volatile one in 100% of 20,000 sequences.**

WHAT THIS IMPLIES — AND THE FUND IT PRODUCES

The objective function changes. Not *minimise drawdown* — that is the decumulation objective, and the sequence result shows it costs a contributor money. The right objective is to **maximise the probability the investor is still contributing in year five**, because contributions dominate terminal wealth and the one thing a fund controls is whether the experience is survivable enough to keep paying into. Everything in the Hook and the Habit is built to serve that one number.

The mandate. Long-term capital growth from a globally diversified portfolio of companies that **own, build or supply long-lived physical and network capacity**, with a structural **30% allocation to Philippine issuers**. Sixteen direct securities — not a feeder, not a fund-of-funds. Peso denominated. ₱100 to start. Holdings are sized to contribute an **equal share of portfolio risk**, solved on the full covariance matrix; no conviction score enters the weighting. *Full portfolio, process, constraint stack and risk disclosures: see the accompanying Fund Fact Sheet.*

Every figure gets re-denominated. A 22-year-old contributing ₱1,000 a month does not think in percentages. A 17.23% drawdown on a ₱5,000 balance is **₱862** — about four weeks of contributions. We publish the peso figure beside every risk statistic, everywhere.

17.14% Return p.a., net of the 1.50% fee (simulated)	11.77% Volatility vs 18.19% index	0.37 Beta to MSCI ACWI
-17.23% Max drawdown ₱862 on ₱5,000	1.01 Sharpe vs 0.56 index	65% Owners — the annuity half of the portfolio

Simulated, 9 Aug 2021 – 10 Aug 2026, net of fee. A backcast, not a track record: holdings were chosen in 2026 and priced backwards. It tests the construction method, not the security selection. The Fund lost to the index in three of five calendar years and by 11.74 points over the last twelve months — a 0.37-beta portfolio underperforms a rising index, which is the same property that produced the shallower drawdown. Both are one decision. Method and four stated limitations in the annex.

POSITIONING — MEASURED AGAINST WHAT A YOUNG FILIPINO CAN ACTUALLY BUY TODAY

Product	Structure	Min.	Fee	5-yr p.a.	What it still does not solve
BPI Global Equity Fund-of-Funds	Fund-of-funds, 11 target funds	₱1,000	1.50% + target fund fees	7.15%	Same MSCI ACWI benchmark as us — and it trailed that benchmark by 4.19 pts a year over five years (information ratio -1.05). Layered fees. No Philippine sleeve.
BPI Philippine Equity Index Fund	Passive, 32 PSEi names	₱1,000	1.50%	0.52%	More of the one bet they cannot hedge. 24% holding firms, 24% financials — no capacity exposure.
Pag-IBIG MP2	Government savings	₱500	None	~7.1%	Tax-free and never negative — but it lends their savings to the same economy their salary already depends on. Real return near zero against 6.2% inflation.
Peso money market / UITF	Short-term debt	₱50–1,000	~0.5–1.0%	~4–5%	A negative real return, delivered slowly and reliably.
The Firsts Fund	16 direct securities	₱100	1.50%, single layer	17.14% simulated	Fills the middle: global capacity ownership, in pesos, with 30% Philippines — the door that does not currently exist.

Read this as a comparison of mandate shape, not of track records. Ours is simulated and theirs are live; those are not comparable and we do not present them as such. The load-bearing comparisons are the ones that do not depend on our return at all: **fee layering, minimum, Philippine weight**, and the fact that the closest existing product to this Fund is a fund-of-funds that *underperformed its own benchmark by 4.19 points a year*. That is the structural case for holding securities directly — and the primer's ban on feeder funds points the same way. **Where MP2 wins, we say so:** for a first that is three to five years away, MP2 is the better answer, and our goal-setting screen routes there rather than taking the money.

Sources: BPI Global Equity Fund-of-Funds KIIDS, 29 May 2026; BPI Philippine Equity Index Fund KIIDS, 30 Jan 2026; Pag-IBIG 2025 dividend declaration; PSA inflation, July 2026.



THE MESSAGE

Pondohan ang mga una mo. Hindi ang balang-araw.

Fund your firsts. Not your someday.

Retirement is the wrong hook for a 22-year-old, and not because they are short-termist. It is forty years away, it belongs to a version of themselves they cannot picture, and every competing product already uses it. **A first is different: it has a name, a peso cost and a date.** It is the only long-horizon goal a young Filipino can actually visualise — and it is the reason the account never closes, because there is always another one.

First solo trip

First laptop that's actually yours

First month you covered your own rent

First time you sent money home and still kept some

First business permit

First car down payment

First ₱100,000

Not aspirational stock photography. Each of these is entered into the app as a peso figure and a month, which is what turns a feeling into a contribution schedule.

WHY COMPETENCE AND NOT FOMO — THREE INDEPENDENT LEGS

1 · The behavioural evidence. Susada (2025), $n = 191$, found perceived behavioural control — literacy and self-efficacy — is the only strong predictor of investment intention ($\beta = 0.502$, $p < .001$). Peer and family pressure was **not significant** ($r = 0.09$, $p = .213$). Caveat we would rather state than be asked: single institution, BSBA students, measures intention rather than behaviour. It is one leg, not the floor.

What this rules out, and we hold to it: no referral bounty, no leaderboard, no scarcity timer, no streak that punishes you for breaking it. Each argues against the evidence. **What it does not rule out is peer-to-peer reach.** Susada measured social *persuasion* against intention; it says nothing about distribution. So a user can share *their plan* — the first, the cost, the date, the bad year in pesos — and not a signup bonus. The thing that travels is the calculator, which is also the thing that builds competence.

2 · The regulator's own measurement. BSP records literacy *rising* — 74% answering at least half the questions correctly, up from 69%. This segment is not ignorant and should not be addressed as though it were. The gap is confidence and product shape, not knowledge.

3 · Where the risk appetite already went. Crypto awareness rose from 6% of adults to 20%, and 46% of Filipino crypto owners are 18–34. The appetite exists. It left for the only place that offered upside when the regulated shelf offered park-or-gamble.

THE LAUNCH — FOUR CHANNELS WE CAN NAME, AND A CALENDAR ANCHOR

Channel	Why it reaches exactly this segment	Cost posture
BPI payroll footprint	A young Filipino's first job usually arrives with a payroll account they did not choose. BPI is already the bank of record for a large corporate payroll base — which means it can reach this segment <i>at the exact month they first have income</i> , already onboarded and already KYC'd. Offer triggers on first salary credit.	Near-zero acquisition cost. No new onboarding.
e-Invest	BPI Wealth's existing digital onboarding platform, built for first-time investors. The rails are live; nothing here requires a new build.	Existing infrastructure.
GCash and Maya	94M and 50M users. The Philippines is the only ASEAN market where e-wallet monthly active use <i>exceeds</i> retail banking app use, and 58% of Filipino adults already use one (BSP, cited in this competition's own primer). This is the contribution rail — see <i>Sukli</i> , page 3.	Revenue-share; no upfront media.
Campus and first-job	Finance and business organisations, and graduate-hire onboarding at partner employers. Content is the calculator and the bad-year figure — competence material, not sponsorship branding.	Low, org-partnered.

THE ANCHOR — LAUNCH ON THE 13TH MONTH

The single most predictable liquidity event in the Filipino year is **13th month pay**. It is legally mandated, it lands in December, and it is the one month a young worker holds money that was never in a budget.

"Your 13th month is the only money you were never budgeting. Give it a first."

This does two things a generic launch cannot. It gives the campaign a date the whole audience shares, and it converts a lump sum into a *schedule* — the 13th month opens the account, and Sukli plus the payday contribution keep it alive through the other eleven. December acquisition, January habit.

THE COMMERCIAL QUESTION A ₱100 MINIMUM INVITES — ANSWERED BEFORE IT IS ASKED

A ₱100 balance at a 1.50% fee earns ₱1.50 a year. That does not pay for anything, and we are not going to pretend otherwise. The economics of this product are not in the opening ticket. They are in contribution flow, and the whole design is pointed at it.

An account contributing ₱1,000 monthly plus roughly ₱300 of Sukli reaches about ₱16,000 in year one and roughly ₱90,000 by year five on the simulated path — approximately **₱1,350 a year in fee revenue per mature account**. The variable that decides whether this works is not how many accounts open. It is **what share are still contributing in month sixty** — which is the same number the Fund's investment objective is written around. Marketing, customer experience and the mandate are all optimising one metric.

Three assumptions we are making, flagged rather than buried: acquisition cost is near zero within the existing payroll and customer base but is *not* zero on wallet or campus channels; a direct multi-market mandate carries real custody, FX and audit cost that a ₱1.50-a-year account cannot bear, so the Fund requires seed capital and a minimum viable size before opening; and none of the above is a costed model. It is the shape of one, and it is the first thing we would build with real data.

FIVE FRICTIONS, AND WHAT REMOVES EACH

"I don't have enough"	₱100 initial, ₱100 recurring, unitized — and Sukli, which asks for money you were not counting.
"I don't know what I'm buying"	Sixteen named companies with a stated role. Not a fund of funds.
"I'll lose it"	The peso figure for a bad year, shown <i>before</i> sign-up rather than after.
"I'll need it back"	Firsts under five years are declined at goal-setting and routed to MP2 or a money market fund.
"I stopped and never restarted"	Contribution scheduled to payday; a missed month prompts, it does not close.



THE FIRSTS FUND

THE HABIT · WHAT KEEPS THEM INVESTED

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"There will always be
a new first."

THE PLATFORM DECISION — AND WHY IT IS A SPLIT, NOT A CHOICE OF ONE

The account lives with BPI. The contribution rail lives in the wallet.

Why BPI holds the account. The investor is already onboarded and KYC'd, so opening is a confirmation, not an application. The salary lands here, making payday a native trigger. Suitability, statements and the redemption screen stay under one regulated roof. And the glidepath needs *two* funds — growth and money market — which BPI already runs.

Nothing here requires a product that does not exist.

Why the wallet carries the money. GCash has 94 million users and Maya 50 million; the Philippines is the only ASEAN market where e-wallet monthly active use exceeds retail bank app use, and this competition's own primer puts e-wallet usage at **58% of Filipino adults**. A fund wanting a contribution every month should collect it where the taps already happen.

THE LOOP

- 1 **Name the first, set the date.** Under five years is declined, with a reason.
- 2 **Fund it three ways.** Payday, Sukli, top-ups. Any one alone is enough.
- 3 **See risk in pesos** before it happens.
- 4 **Glide down on a schedule** from 24 months out.
- 5 **Then name the next one.** The account reopens; it does not close.

SUKLI — TURNING THE MOST FREQUENT THING THEY DO INTO THE ONE THING THE FUND NEEDS

Sukli is the change you get back from a purchase — a word every Filipino has used since they were seven. Enable it once and every discretionary payment in GCash or Maya rounds up to the nearest ₱20; the difference is set aside, and at ₱100 it sweeps into the Fund. A ₱137 milk tea becomes ₱140 and ₱3 goes to your first. Nobody feels ₱3. At roughly **30 discretionary wallet payments a month** — our assumption, not a measured figure — that is about **₱300 a month from money that was never in a budget**, on top of payday.

Why this mechanic, for this fund. Our objective is to maximise the probability the investor is still contributing in year five. A monthly contribution is a monthly *decision*, and every decision is a chance to stop. Sukli removes the decision without removing the control — a commitment device, not a persuasion device, which is why it does not contradict our refusal to use social mechanics.

The obvious objection, head on: a round-up must never become a reason to spend. Sukli is capped, it is a fraction of spending already happening, the app never suggests or celebrates a purchase, and the *primary* rail stays the payday contribution. Sukli is the supplement that survives the months discipline does not.

Mechanic	Round up to nearest ₱20; or 1–5% of spend, user-set
Applies to	Discretionary spend only — never cash-in, send money, bills or remittance received
Guardrails	No skim below a ₱500 wallet balance; user-set monthly cap, default ₱1,000
Held in / sweeps at	Money market fund while waiting; ₱100 into the Fund
Turn off	One tap. No period, no penalty.

Two details that matter more than they look. The escrow sits in a money market fund, not a zero-interest balance — waiting money earns, so no cash drag. And the wallet **aggregates**, settling one net flow per day to BPI Wealth, so the Fund receives a single daily subscription, not a million ₱100 tickets. Idea versus operable idea.

THE DESIGN CONSTITUTION — WE OPTIMISE AGAINST ENGAGEMENT

Every consumer fintech optimises daily active users. A fund whose thesis is contribution continuity should optimise the opposite, because balance-checking precedes selling. Product rules, not aspirations.

- 1 No daily balance notification. Ever.
- 2 The headline number is **months funded**, not percentage change.
- 3 Notifications key to **payday and your date** — never to price.
- 4 Checking your balance is one tap *further* than adding to it.
- 5 The months-funded counter **only goes up**. A missed month pauses it; nothing resets — a streak you can break is a reason to quit.

Onboarding, four screens. Confirm identity from the existing BPI record → name the first and its date → see the contribution required *and* the bad year in pesos → set the payday amount and switch on Sukli. No paperwork, no branch, no new KYC.

Monitoring shows three things and refuses more: months funded, peso distance to the milestone, and the sixteen companies you own by name and role — "what do I actually own" being the question a fund-of-funds cannot answer and we can.

THE REDEMPTION SCREEN — WHERE FUNDS ACTUALLY LOSE PEOPLE

A young investor who sells in month fourteen was not failed by the portfolio. They were failed by the one screen nobody designs. This is ours.

REDEEM — CONFIRM

₱4,138

That is **14 months of contributions**, and **₱21,860 short** of your first — *Siargao, June 2029*.

One thing worth knowing first. You are down 9.4% and still paying in. On our data a contributor who keeps going through a weak stretch ends up *ahead* of one who does not — the correlation between a weak first half and final wealth is **-0.85** for someone contributing. Selling is the only version where that stops being true.

Pause contributions for 3 months instead

Withdraw ₱4,138

Pausing beats redeeming, and the interface should say so. The default is a pause: account open, units invested, schedule resumes without re-onboarding. Redemption stays one tap away — **we are not proposing friction that traps money**, only that the cheaper option comes first and the loss is counted in months, because months are what was spent.

HOW WE WOULD KNOW IF THIS WORKED — AND THE NUMBERS WE WOULD BE HELD TO

Metric	Target	We would call it a failure
Still contributing in month 60	≥ 55%	< 40%
Contribution continuity through the first negative quarter	≥ 80%	< 60%
Pause-to-redeem ratio	≥ 3 : 1	< 1 : 1
Sukli attach rate by month 6	≥ 40% of accounts	< 15%
Median months funded per account, year 1	≥ 10 of 12	< 7

What we would refuse to report as success: assets gathered, accounts opened, daily active users, app sessions. Each can rise while the thing the Fund exists to do is failing. These five test our own thesis — and the first two are what would tell us to cut the risk level.

The glidepath closes the loop. Near the date the investor becomes a payer-out, the balance becomes the asset, and the correlation flips from -0.85 to **+0.85**. From 24 months out a fixed transfer moves the balance to a money market fund: stressed worst case ₱68,855 → **₱77,736**, dispersion 66.2% → 35.3%, 100% of stressed paths won, median cost ₱7,419. An account-level rule between two funds BPI already runs — one NAV cannot glide to dates its investors do not share. *Fact Sheet, p2*.

IMPORTANT. A hypothetical student proposal for FinQuest 2026 — **not** an offer, recommendation or investment advice, not a BPI Wealth product; no fund described here exists. All performance is **simulated** and prepared with hindsight. *Sukli* would require e-money partner agreements, recurring debit authority and regulatory review not yet obtained. Full disclosures: Fund Fact Sheet and Annex. **Team Los Angeles 76ers** — Prince Angelo C. Rivera · Luis Tengonciang · Karol Josef Fufñe · Eric Fabian Thirdy Mendez, Ateneo de Manila University.



THE FIRSTS FUND

ANNEX · EVIDENCE, METHOD, LIMITATIONS AND REGULATORY POSITION
FinQuest 2026 · Los Angeles 76ers · Ateneo de Manila University · Annex

*“There will always be
a new first.”*

A1 · EVIDENCE BASE — EVERY LOAD-BEARING CLAIM AND ITS SOURCE

Claim	Figure	Source
Young Filipinos are already in the market, growing fast, and not rich	18–29 = 26.5% of PSE accounts, from 19.5%; investors earning <₱500k/yr = 82.4% of accounts, from 70.9%	PSE 2024 investor profile, via Manila Bulletin (2025)
Access has improved, and literacy with it — so neither is the binding constraint	BPI UITF minimum cut ₱10,000 → ₱1,000 (2023); PSE accounts +50.1% in a year; 74% answering half the literacy questions correctly, from 69%	BPI Wealth; PSE; BSP CFIS 2025
The industry's answer to caution is cash — and cash loses in real terms	~90% of Sun Life UITF assets in money market; inflation 6.2% in July 2026, from 6.4% in June	BusinessWorld (2026); PSA (2026)
The local market is the weak bet	BPI PH Equity Index Fund 0.52% p.a. over 5 yrs, net; PSEi -7.3% in 2025 vs S&P 500 +22.6%	BPI PH Equity Index Fund KIIDS, Jan 2026; PSE; S&P
The closest existing product underperforms its own benchmark	BPI Global Equity Fund-of-Funds 7.15% p.a. vs MSCI ACWI 11.34% over 5 yrs; information ratio -1.05; layered fees disclosed	BPI Global Equity Fund-of-Funds KIIDS, 29 May 2026
Speculative alternatives are mainstream	Crypto awareness 20% of adults, from 6% in 2021; 46% of PH crypto owners are 18–34	BSP CFIS 2025; Triple-A
The wallet is where the money moves	GCash 94M users, Maya 50M; PH is the only ASEAN market where e-wallet MAU exceeds retail bank app MAU; 58% of Filipino adults use e-wallets	Company disclosures; BSP (2026), cited in the FinQuest 2026 primer
Competence, not peers, predicts investing	Perceived behavioural control $\beta = 0.502$, $p < .001$; peer influence $r = 0.09$, $p = .213$	Susada (2025), $n = 191$

Three claims from an earlier draft were withdrawn for failing verification: that the suitability gate is the binding barrier, that young Filipinos quit after a bad first experience, and that 18–25s are “moderate-aggressive”. None is used anywhere in this submission. **No Philippine study measures risk tolerance directly in 18–25s** — every source above measures intention, literacy, participation or behaviour, and we do not claim otherwise.

A2 · WHAT WE KILLED, AND WHY

“The suitability gate is the barrier”	Access demonstrably improved. The claim argues against its own evidence.
“Young Filipinos quit after a bad first experience”	Unsourced, and the sequence result shows the reasoning runs backwards for a contributor.
“18–25s are moderate-aggressive”	Not found in any source. Never published.
Referral bounties and social proof	Contradicted by Susada (2025), $r = 0.09$, not significant. Peer <i>reach</i> retained; peer <i>persuasion</i> not.
Education-gated unlock of an Aggressive fund	Education can build understanding. It cannot change a person's capacity to absorb loss.
Streaks that reset	A counter you can break is a reason to quit in month four.

A3 · WHERE THE SUITABILITY QUESTIONNAIRE ACTUALLY SITS

We are not asking BPI to weaken an investor-protection control. **The questionnaire is measuring the wrong client.** It asks how much of a *balance* you can afford to lose; for a 22-year-old the number that decides the outcome is how much they will *contribute*, monthly, for how many years — and no questionnaire asks it. Suitability properly distinguishes risk *capacity*, *tolerance* and *required*; a forty-year horizon is a capacity input the instrument underweights.

What we propose instead of a workaround: disclose the horizon input, record it in the suitability file, and let the account-level glidepath — not a tutorial — carry risk down as the date approaches. **The honest version of our position:** if the gate fires for a young contributor, that is evidence for this argument; if it does not, the argument is unchanged, because the point was never that the gate blocks people but that it asks a decumulation question of an accumulating client.

A4 · BACK-TEST METHOD AND ITS LIMITATIONS

Method. 1,306 daily observations, 9 Aug 2021 – 10 Aug 2026, converted to pesos at daily rates. Weights solved for equal risk contribution on the full covariance matrix, then passed through the constraint stack. Quarterly rebalancing with drift between resets. Net of the 1.50% fee. Benchmark is MSCI ACWI total return in pesos, reconstructed from iShares ACWI NAV and distributions.

Selection is hindsight	Holdings chosen in 2026, priced backwards. Evidences the construction method, not the security selection.
Volatility uses the full panel	Computed from data a live manager would not have had at each rebalancing date.
The window is not homogeneous	7.96% p.a. in the first half against 27.02% in the second; Sharpe 0.23 against 1.85. The second half is the AI capex cycle, where the largest risk factor sits.
PH holdings are understated	The five PSE names carry price only; offshore holdings are total return.

The first two push the reported figures in the flattering direction; the fourth pushes against. **None is corrected in the numbers presented.**

A5 · REGULATORY POSITION, INCLUDING SUKLI

The Fund. A peso-denominated pooled fund investing in direct foreign securities, with a 10% single-issuer limit and a 10% liquid reserve, consistent with our reading of the Investment Company Act IRR Rule 6 and Rule 6.10. **This is our interpretation. It has not been reviewed by counsel or by any regulator,** and any submission of this concept would require that review first.

Sukli. A recurring round-up debit requires explicit, itemised and revocable authority from the wallet holder, an e-money partner agreement with GCash or Maya, and treatment of the escrow under BSP e-money rules until it sweeps. **We assume none of this is in place.** The design choices anticipating that review are on page 3: spend-only application, balance floor, user-set cap, one-tap revocation, and an escrow that is itself a regulated fund rather than a float held by a distributor.

What we are not asking for. Not to relax the Client Suitability Assessment, not an education-based override, not to sell an Aggressive product to a client rated Conservative. **Governance we would expect:** trust-committee approval of any revised suitability model, an audit trail recording the horizon input, and a documented override log. We name these because a proposal that elides them is not a serious one.

A6 · WHAT WOULD CHANGE OUR MIND

The sequence result is arithmetic and does not depend on the back-test. But the product case rests on **contribution continuity**, which we model as 60 uninterrupted monthly payments and which no source we found measures for this segment. **If continuity is materially worse than assumed, the risk level should come down.** Sukli exists because it is the one mechanism that raises continuity without relying on the investor's discipline — but its attach rate and its durability through a drawdown are equally unmeasured. Those are the first two tests we would run with real data, and together they are the honest weak point of this submission.